Remarkably, faced with a flurry of persistent rumours, American officials downplayed intelligence of the Gorbachev-Honecker spat. ‘But we were proven wrong,’ admits Bruce W. Clark, a US Political Advisor on East Germany.26 ‘The reports were accurate. I think we just couldn’t believe that the Soviet Union would do anything to destabilise the hard-line communist government of East Germany given its strategic importance and location.’27

Meanwhile, on the home front, Honecker endured an increasingly fractious relationship with Gerhard Schürer, chairman of the State Planning Commission who expressed horror at the continued high Western debt when presenting an almost endless catalogue of economic failings. While he warned of imminent insolvency and proposed a drastic change of course in economic policy, Honecker allowed GDR flag carrier ‘Interflug’ to become the first airline in the socialist block to order two A-310s Airbus planes for its own fleet using a Western banking consortium to handle the sale and put up part of the total amount of U$130million. The cost climbed when the medium-range machines were equipped with an extra tank to serve long-haul routes to Cuba and the Far East.28 (Vast sums of money had also been squandered on giving the capital a facelift for the fortieth-anniversary celebrations which bled provincial cities dry, causing a resentment.)

On the verge of tears, Schürer also protested the huge sums spent on GDR’s lacklustre microelectronics industry and advised freezing funds to the armed forces and changing subsidy policies. However, after an angry discussion, Schürer’s proposals were rejected – a decision endorsed by Günter Mittag, the Central Committee economics secretary.29 As Egon Krenz laments, all fundamental economic decisions were left to a ‘small circle’ of ‘comrades of the Politburo responsible for the economy’ led by Mittag.30 Margot Honecker later acknowledged that Mittag was ‘not loved by the majority of ministers because he did not have the skill to come to agreement with his people’.31

Meanwhile, as the economy teetered, Honecker celebrated the completion of the ‘three millionth apartment’, which he handed over in a blaze of propaganda. In a speech carried on television, he gave the wholly unrealistic assessment that the programme was successfully completed –